Contemporary International Monetary Arrangements

Week 7b

Concepts

- International Financial Integration
  - **Eurocurrency banking**

- Life under Floating Exchange rate
  - Exchange-rate **volatility** and **misalignment**

- Managing Exchange rates in a world of mobile capital
  - **EMS**
  - **Plaza Accord**
  - **Sterilized intervention**
  - **Twin deficit**
  - **US debt**
  - **Speculative Attack**
  - **Tobin Tax**

- Financialization

International Financial Integration

Crumbling capital control of BW

- Capital control under Bretton Woods system began to crumble during the 1960s

- **Eurodollars** : dollar-denominated bank accounts and loans managed by banks outside of the US.
  - British banks allowed the Soviet government to open dollar-denominated bank accounts in London, → dollar-denominated loans to companies
  - Quickly spread to become a parallel financial universe: **Eurocurrency banking**
  - But barrier maintained – foreigners allowed to keep dollar account but not the British

1970s and 80s

- Development of ICT
  - Phenomenal growth of international financial transactions
  - International credit by banks: $12b. (1964) → $1.5 tr. (1985)

- Increasing pressure on governments
    - Individuals manipulating interest-rate differentials

- Late 1970s dilemma: to control or not to control
  - Margaret Thatcher (Britain) – eliminating capital control
  - → liberalisation through the 1980s
  - The Rise of **Neoliberalism**

- Global financial liberalization/integration by the 1990s

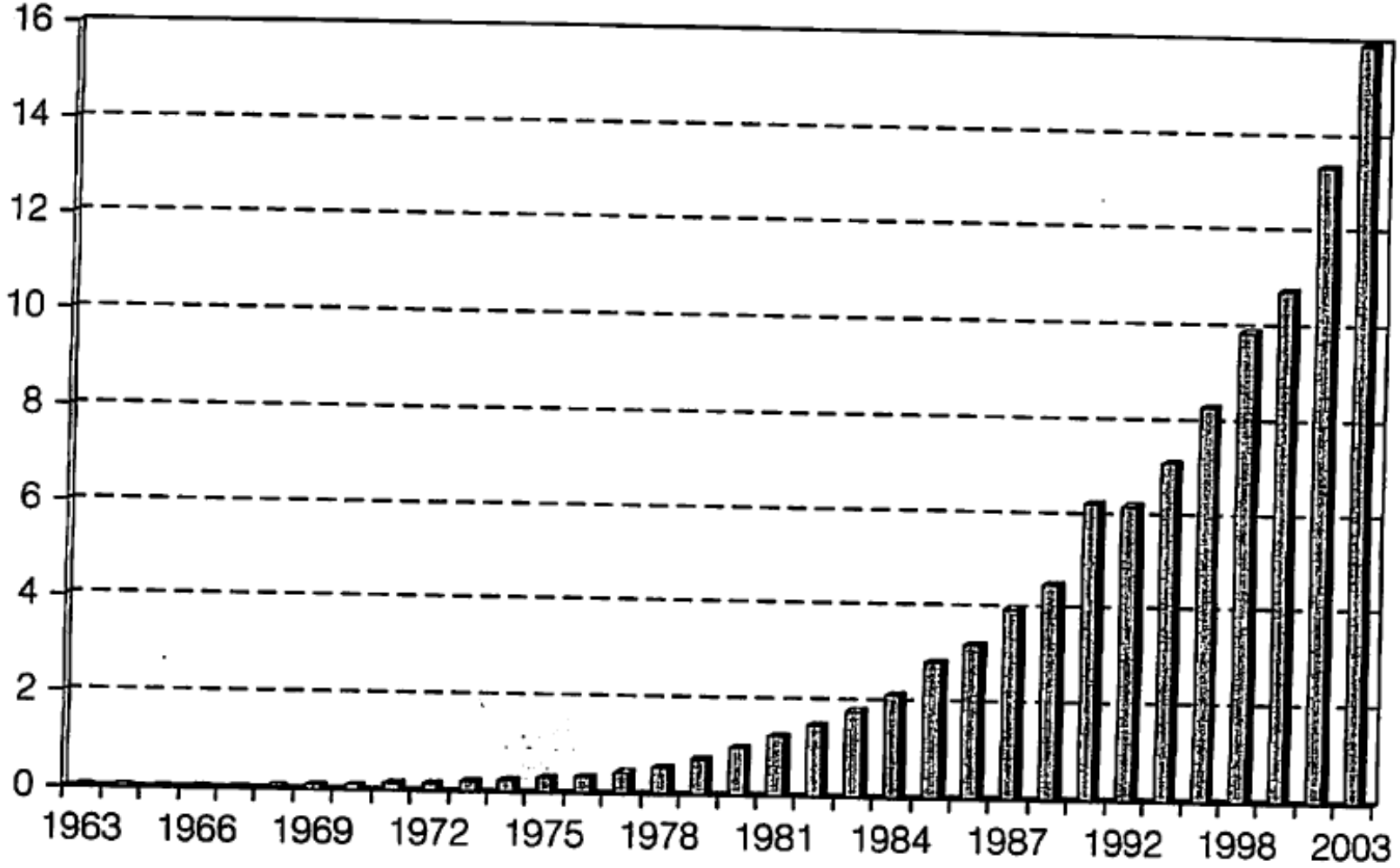


FIGURE 2.2 The Growth of the Eurodollar and Eurocurrency Markets, 1963–2003, in $Trillions

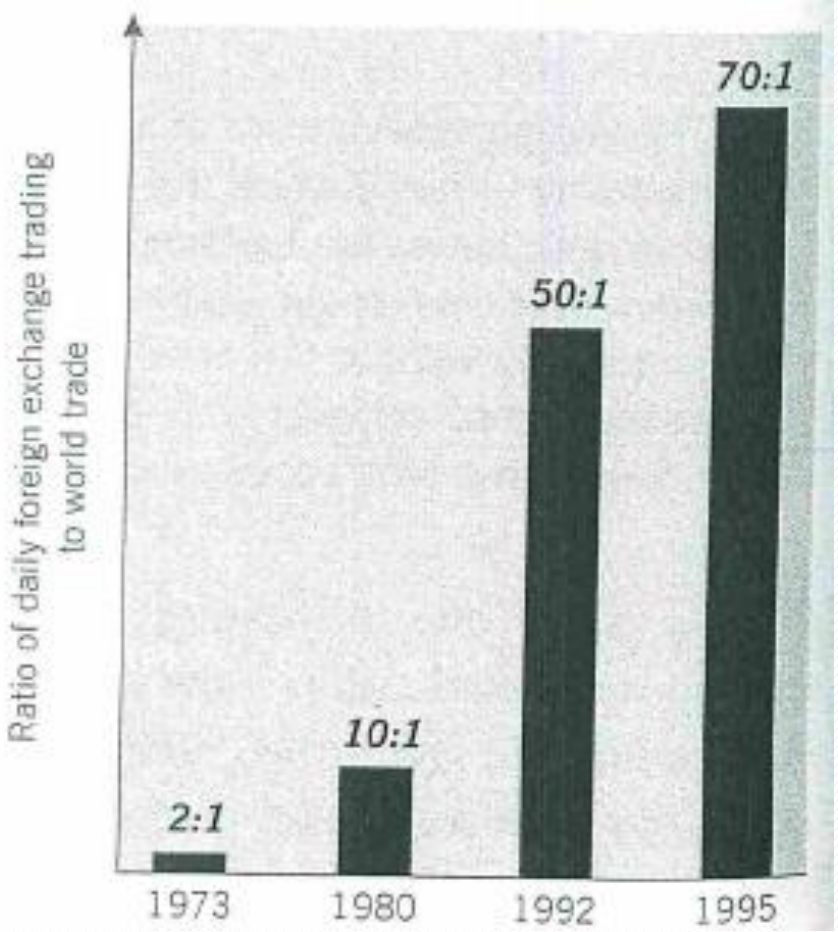
SOURCE: Bank for International Settlements.

(Spero and Hart 2010, 21)

Casino Capitalism

- Dramatic rise of international financial flow
  - Average *daily* turnover in foreign exchange: $3.2 tr. (2007)
  - Complicated exchange rate managements

- Only 10% of international financial transactions are directly related to international trade
  → the rest?
  → speculative dealings



(Dicken 2011, 369)

Cost – volatility

- Capital flows and the underlying current account imbalances
  → Large and disruptive exchange-rate movements

- Growing difficulties in limiting exchange-rate movements
  - Government can stabilise exchange rates only if they fully surrender domestic economic autonomy by entering permanently fixed exchange-rate systems.

Life under Floating Exchange Rates

Autonomy? … Yes!

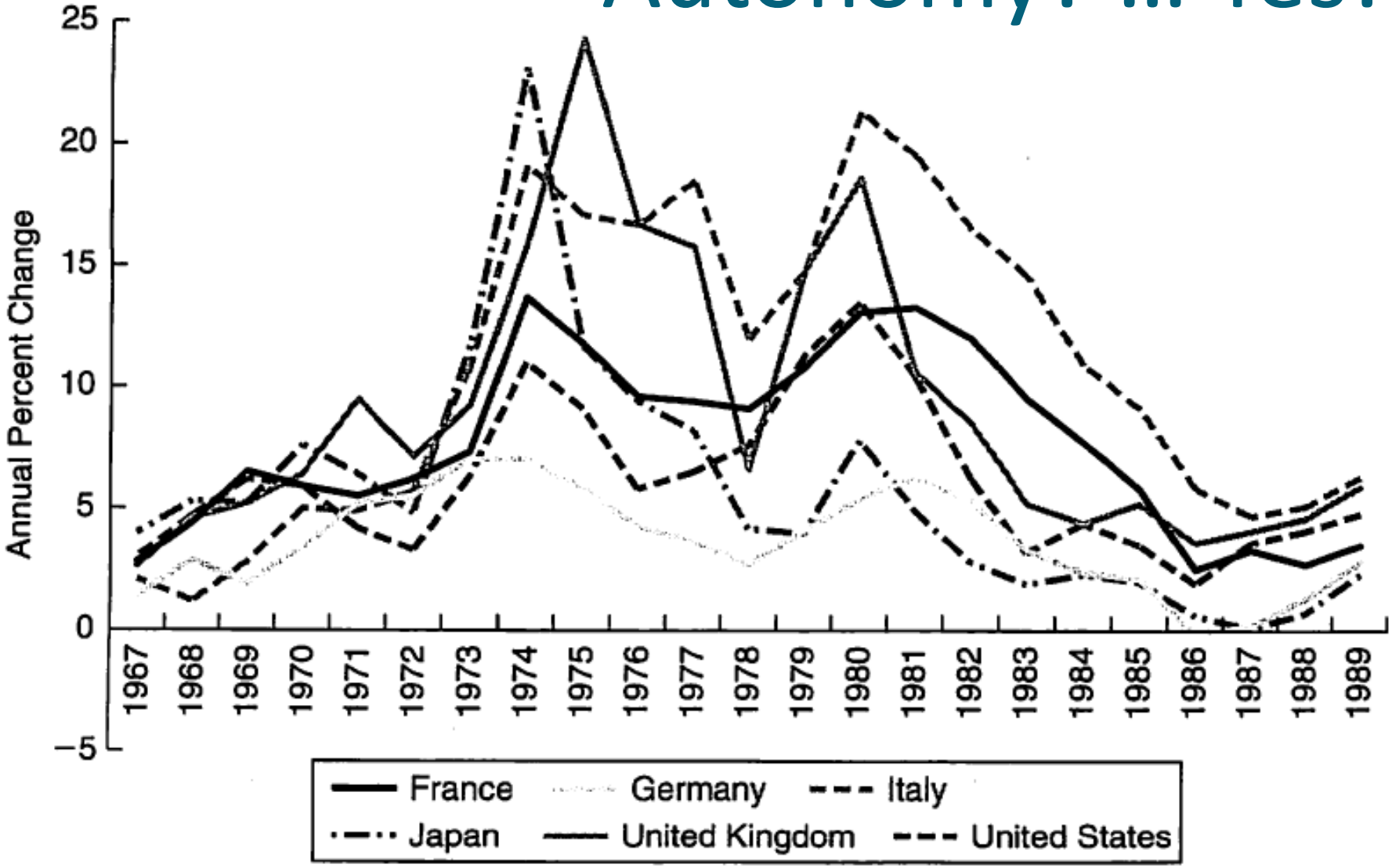


Figure 11.1 Annual Inflation Rates in the Advanced Industrialized Countries.

Costs

- Less stable exchange rates
  - Volatility
  - Misalignment

Exchange rate volatility

- 1-2% movements in exchange-rate in a month
- Caused by short-term imbalances between supply and demand of currencies
- Can make big impacts on profitability of trade
- Increasing role of financial institutions in managing risks
  - Futures and options

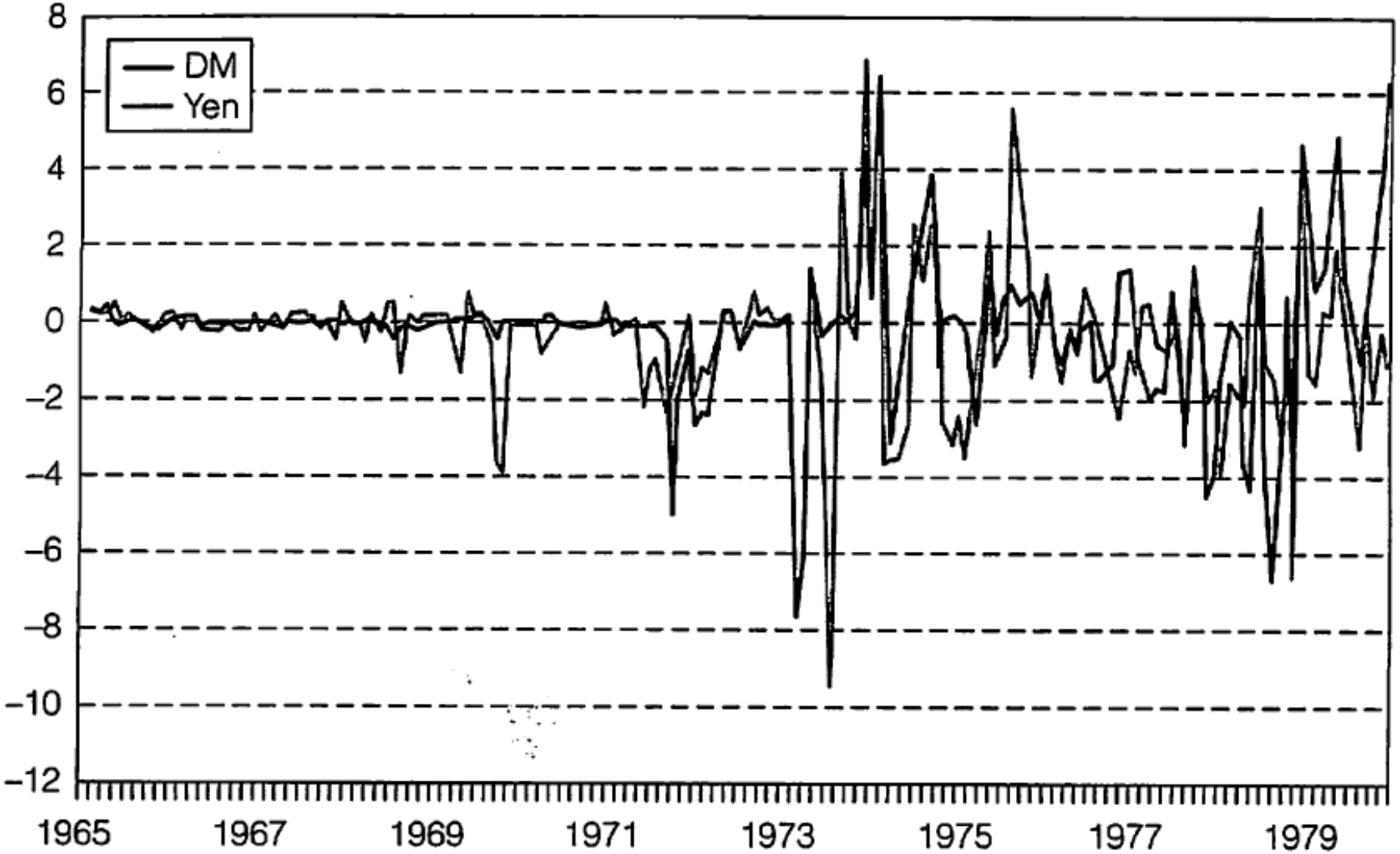


FIGURE 2.7 Volatility in Deutsche Mark (DM) and Yen Exchange Rates with the U.S. Dollar, 1965–1979, Percentage Changes from the Previous Month

SOURCE: *International Financial Statistics CD-ROM* (Washington, D.C.: IMF, January 2002.

Spero and Hart 2010, 31

Exchange rate misalignments

- Large exchange-rate changes over a relatively long period of time.

- Driven by the international financial flows
  - resulting from underlying macroeconomic and current-account imbalances.
  - rather than short-term imbalances in supply and demand

- Impacts international trade and investment
  - (e.g.) Investments in the US with strong dollar
  - Difficult to manage risks

US, tax cuts, increasing spending in the 1980s → Twin deficit → increasing interest rates → capital inflow → strong dollar in early 1980s

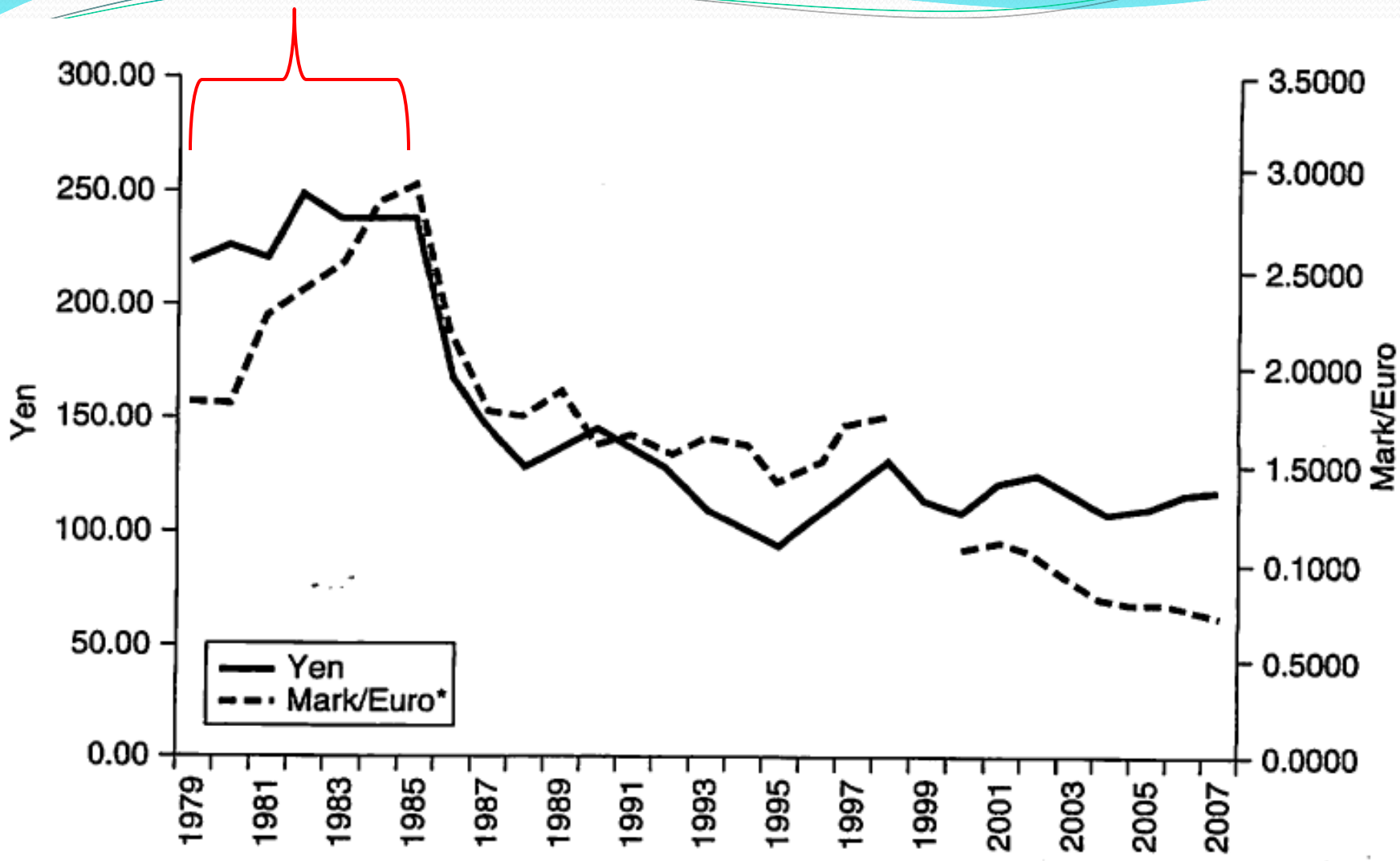


Figure 11.2 Dollar's Value Against the Yen, the Mark (1979–1998), and the Euro (2000–2008).
*From 2000, data is for the dollar/euro exchange rate.
Source: United States Government 2008.

Managing Exchange Rates in a World of Mobile Capital

European Monetary System (EMS)

- Established in 1979
  - Fixed-but-adjustable
  - Central parity against a basket of EU currencies called **European Currency Unit** (ECU)
    - 2.25% to each side
  - Evolved into an exchange-rate system centred on Germany
    - Germany – lowest inflation

- Conditions:
  - Increasing intra-European trades
  - Preference for stable exchange rates
  - Low inflation as chief concern

- Questions of coordinating monetary policies
  - 1981 France adopted an expansionary macroeconomic policy
    - Reversed course after 18 months

EMS to monetary union

- Monetary Union
  - Permanently fix their exchange rates
  - Single currency for single market
  - To reduce Germany's privileged role

- Maastricht Treaty (Dec. 1991)
- 1992 – Black Wednesday (16th Sep. 1992)
- 1999 – fixing exchange rates
- 2002 – introducing euro bills and coins

G-5 and Plaza Accord

- Plaza accord (Plaza Hotel, New York, 1985)
  - US, Japan, UK, Germany, France (G-5)
  - US – agreed to narrow its budget deficit by reducing spending
  - Others – agreed to help ease imbalances; more reasonable exchange rates
    - Japan and Germany (10-12% strengthening against USD)
    - $18 b. for the intervention

- Formalised at May 1986 G-7 economic summit in Tokyo

- Louvre Agreement 1987
  - Germany and Japan agreed to stimulate domestic demand
  - US reaffirmed its commitment to reduce budget deficit
  - US, Germany reluctant to keep promise
  - but Japan did. . . Expansionary fiscal policy

- Discussion on further coordination (target zone, CA adjustment) failed
  - Unwilling to accept constraints on their domestic economic autonomy

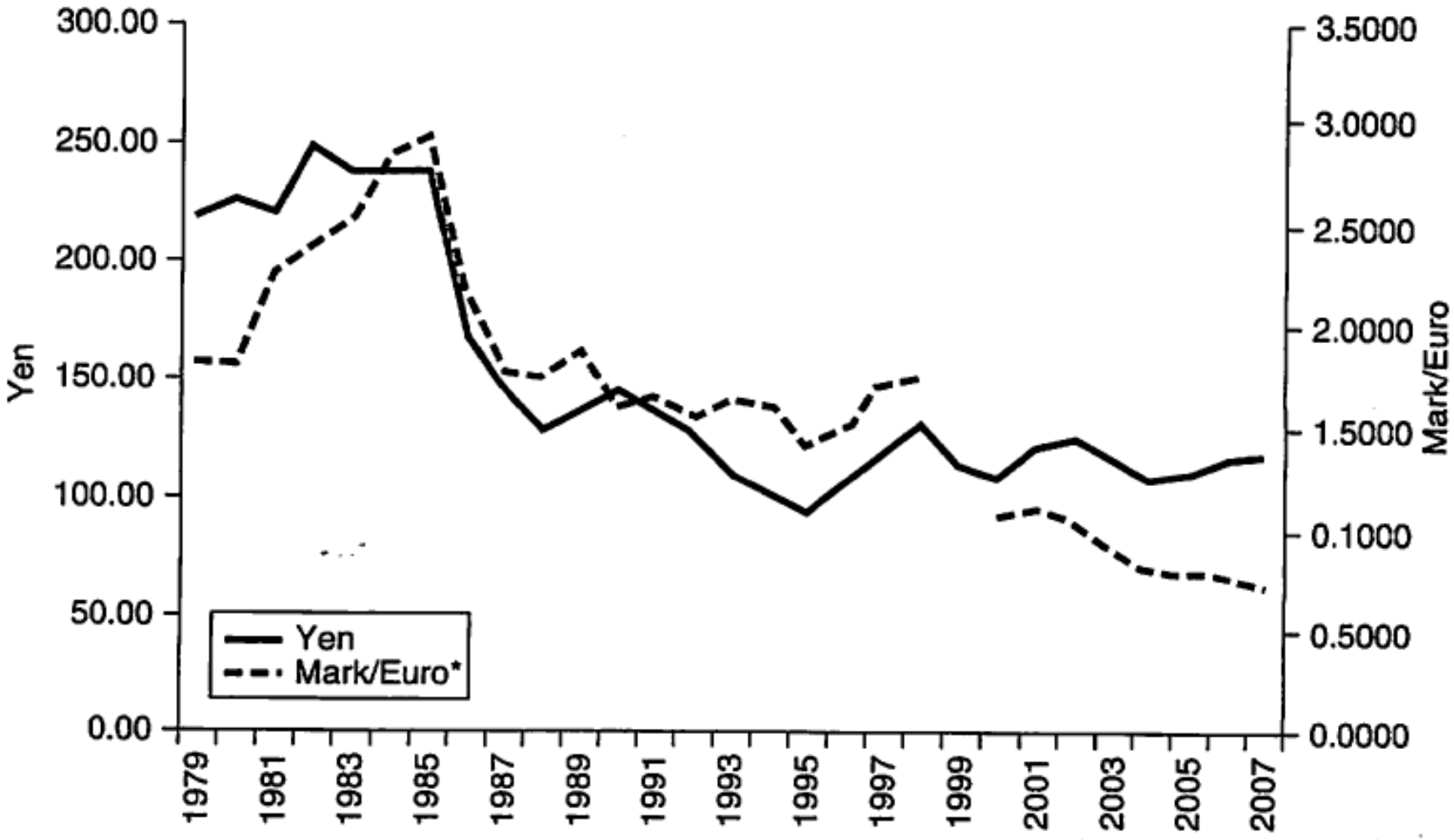


Figure 11.2 Dollar's Value Against the Yen, the Mark (1979–1998), and the Euro (2000–2008).
*From 2000, data is for the dollar/euro exchange rate.
Source: United States Government 2008.

Declining interests among G5

- Foreign exchange market intervention has little influence on exchange rates
  - Huge volume of foreign currency turnover
  - **Sterilized intervention**
    - Making an opposite intervention in the domestic market
    - To counter effects of FX intervention on domestic market
- US and EU becoming reluctant to intervene

Twin Deficit in the US

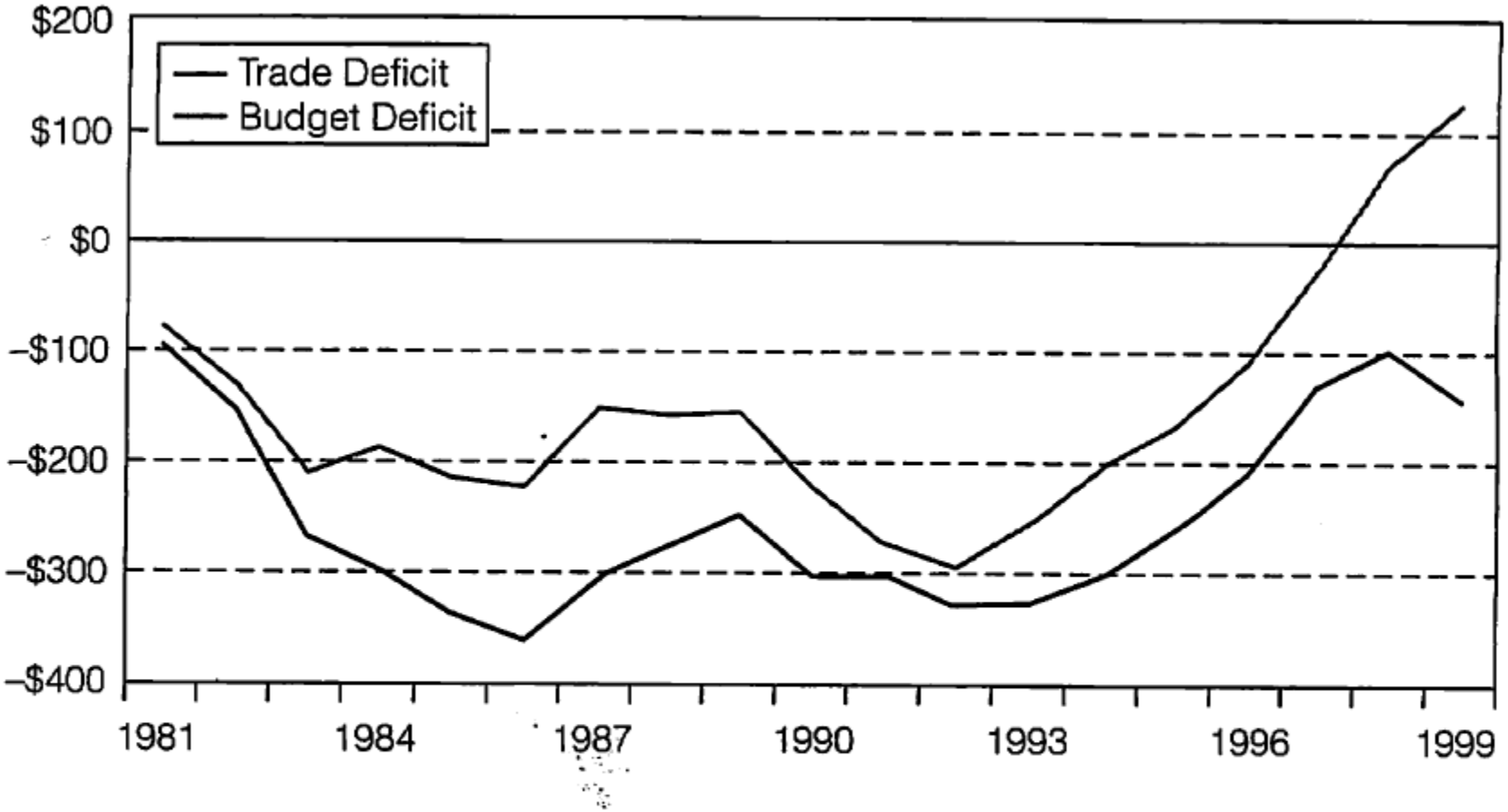


FIGURE 2.9 The Twin (Trade and Budget) Deficits of the United States, 1981–1999, in Billions of Current Dollars

SOURCE: *Economic Report of the President 2001*, pp. 367 and 392.

Spero and Hart 2010, 35

CA deficit

- Increasing CA deficit
  - US deficit above 5% of GDP
  - East Asian + EU surplus
  - US absorbing 6% of the world's total savings.

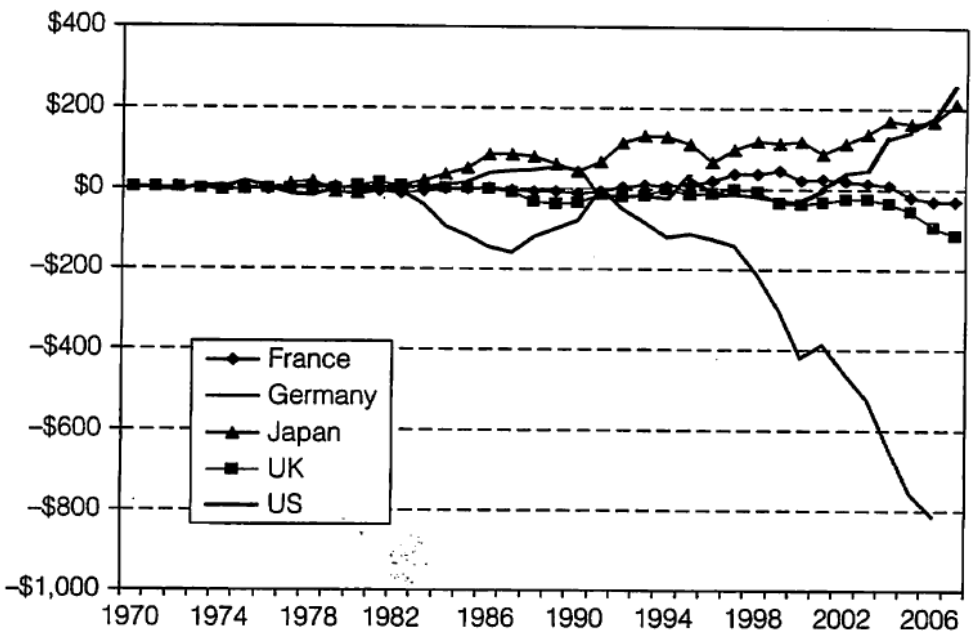


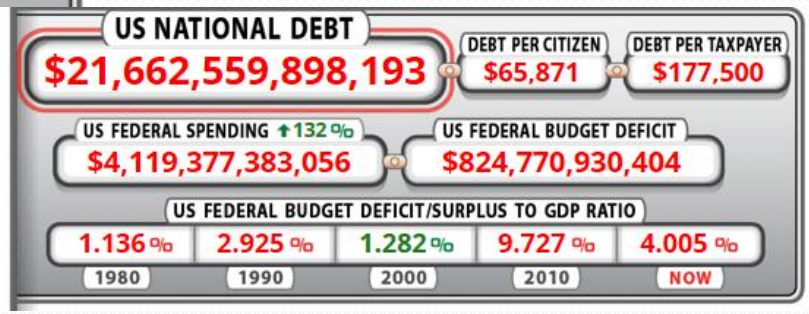
FIGURE 2.10 Balance of Payments in the G-5 Countries, 1970–2007, in Billions of Current Dollars

SOURCE: World Bank, *World Development Indicators 2001 on CD-ROM;* OECD.StatExtracts, http://webnet.oecd.org/wbos/Index.aspx.

Spero and Hart 2010, 37

Debt. . .

- Increasing debt
  - $19 tr. (see http://www.usdebtclock.org/)
  - About $6 tr. to foreign lenders
  - **International investment position**: Foreign financial assets owned by Americans - American financial assets owned by foreigners ($-2.4 tr.)



Speculative Attacks

- Speculative Attack
  - Sudden emergence of very large sales of a currency sparked by the anticipation of devaluation.

- Fixed-but-adjustable exchange rates are particularly vulnerable
  - Based on the premise that governments can and will periodically realign exchange rates.

- **Tobin tax**
  - Small tax on foreign exchange market transactions
  - High enough to discourage short-term capital flows, but not high enough to discourage long-term capital flows

Financialization

Financialization

- The increasing role of financial motives, markets, actors and institutions in the operation of the domestic and international economies
- power shifted from managers to shareholders since the 1980s
- Shareholder value and profitability became central to all aspects of economic activity
- Coincided with a growing tendency by firms to break up the process of producing goods and services and locate different parts in different locations
- Allowed these firms to maintain cost mark-ups even in a context of slower economic growth

- The market regarded as the most appropriate allocator of resources

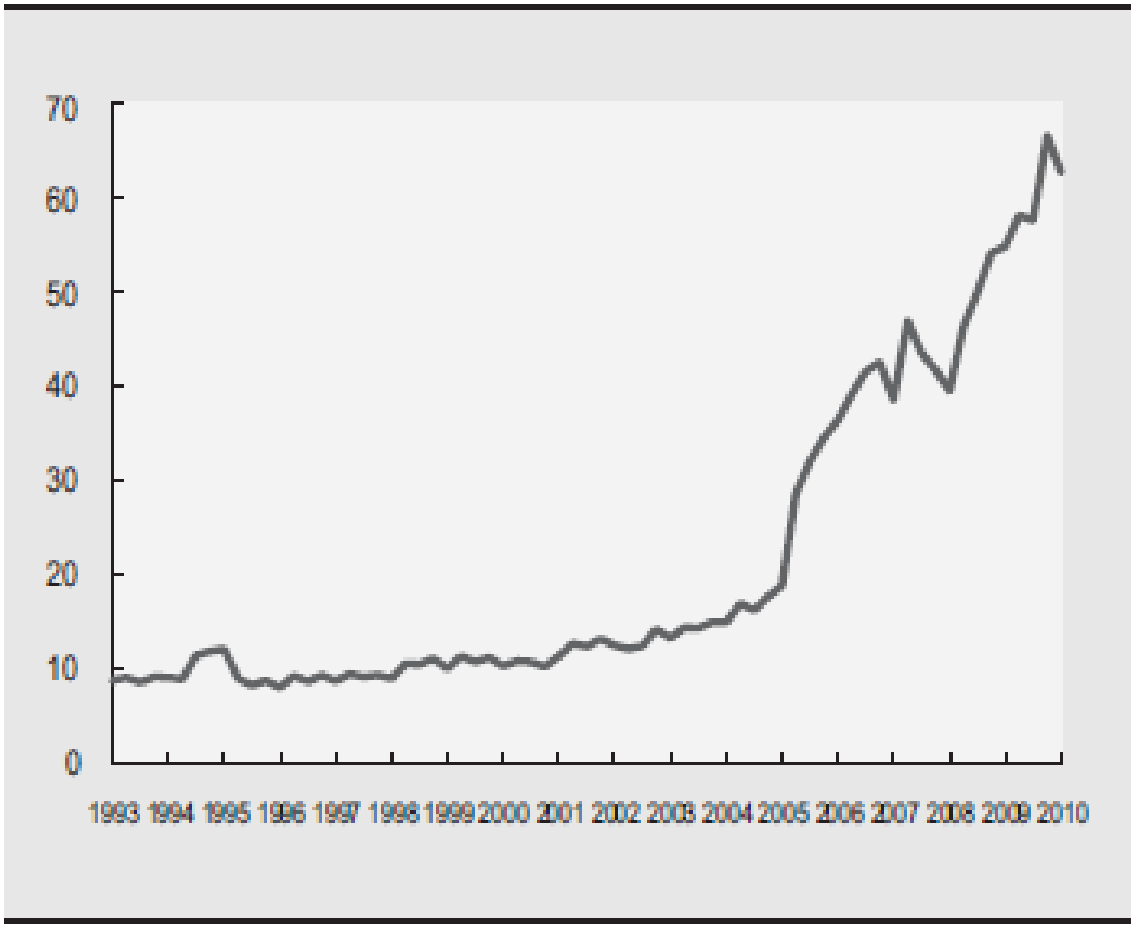
  . . . but "2008 global financial crisis made nonsense of this claim"

Financialization

Figure 4

FUTURES AND OPTIONS CONTRACTS OUTSTANDING ON COMMODITY EXCHANGES, DECEMBER 1993–DECEMBER 2010

(Number of contracts, millions)



Source: Bank for International Settlements (BIS), *Quarterly Review*, March 2011, table 23B.

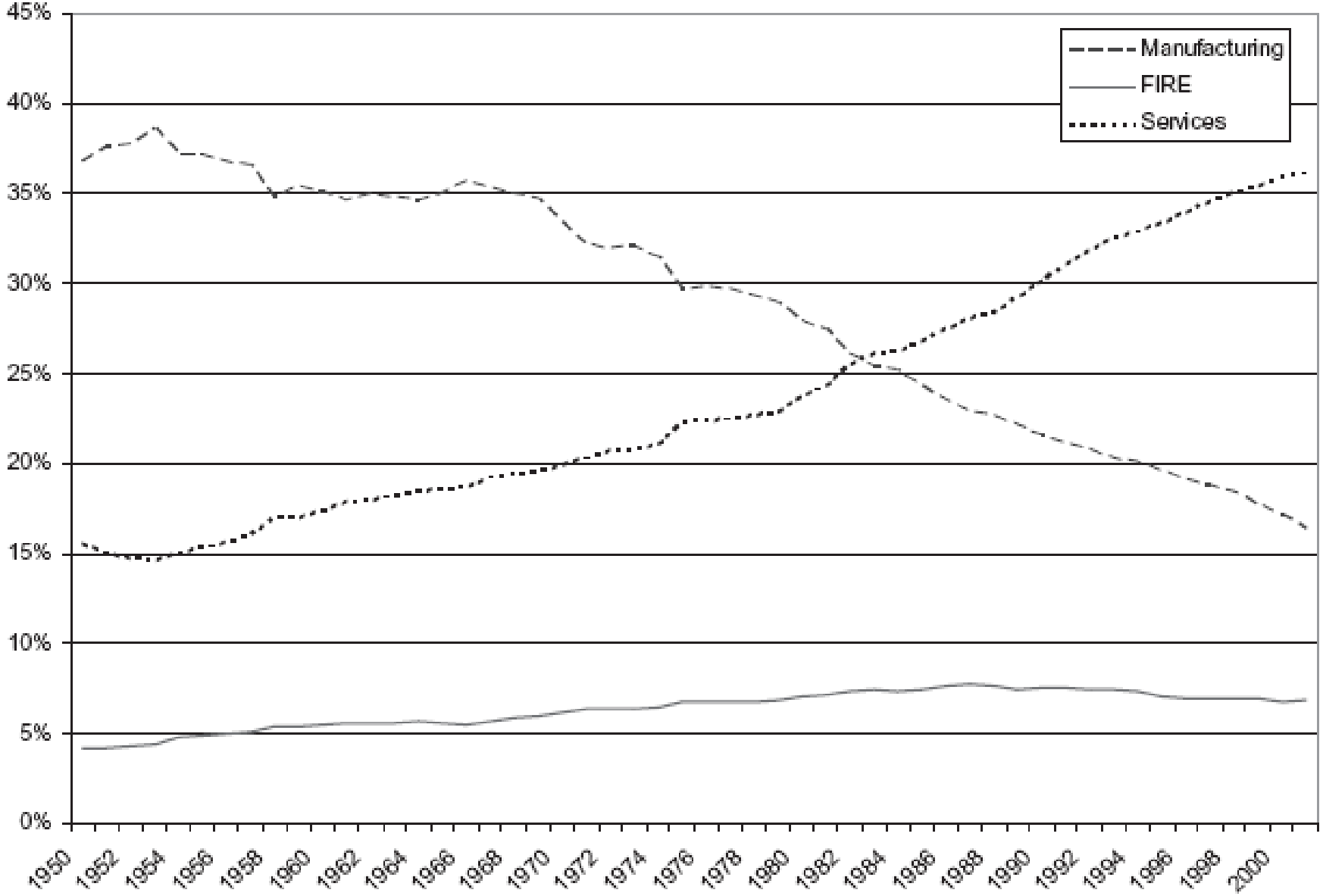


Figure 1 Relative industry shares of employment in US economy, 1950–2001.

FIRE: Finance, Insurance, Real Estate

(Krippner 2005, 178)

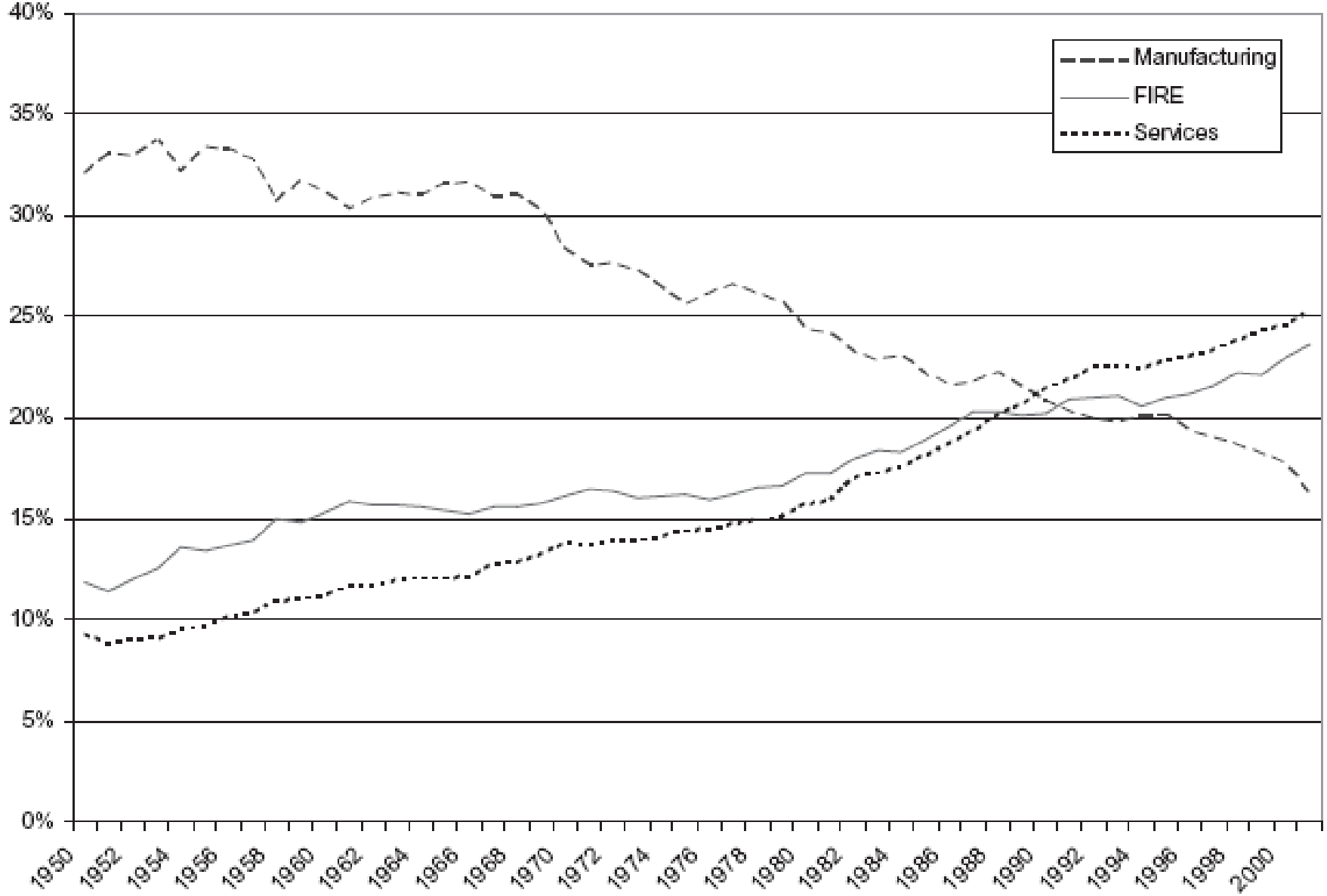


Figure 2 Relative industry shares of current-dollar GDP in US economy, 1950–2001.

(Krippner 2005, 178)

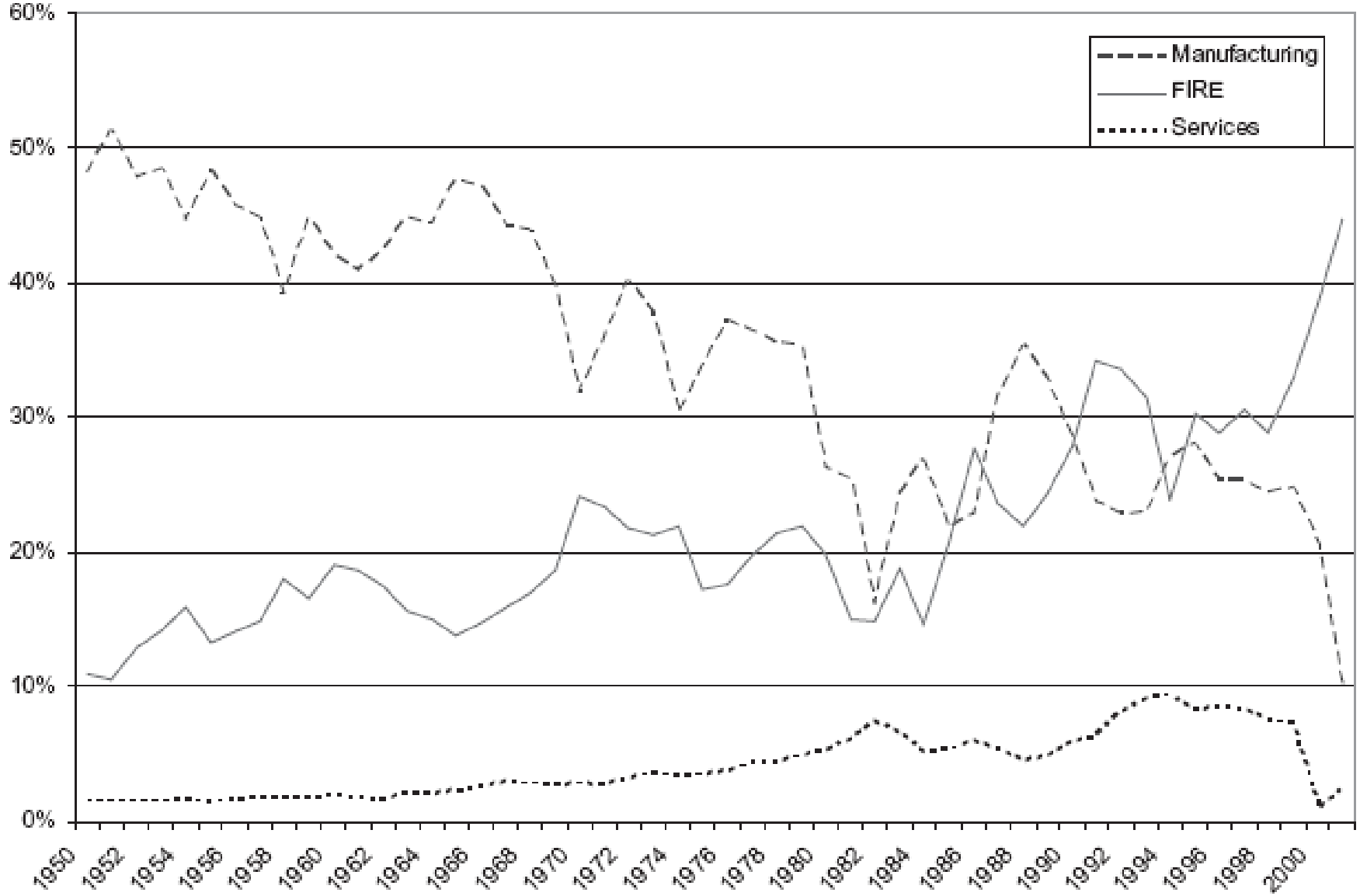


Figure 3 Relative industry shares of corporate profits in US economy, 1950–2001.

(Krippner 2005, 179)